United States. China's main headache is not just Washington itself, but the countervailing coalitions that form the heart of US policy under the Joe Biden administration: the Quad, AUKUS, the increasing China focus of the G7 and other groupings, dubbed "small cliques" by Xi. If they hold and deepen, they will ensure a long-term global balance of power that works to China's disfavor across multiple domains, from Indo-Pacific security to the contest for technological leadership.

India is at the heart of a number of these overlapping coalitions, and can expect to be seen and treated by China more and more through the prism of geopolitical considerations rather than bilateral ones. In a more nimble phase of Chinese diplomacy, this might have resulted in efforts to incentivise states to peel away and maintain their distance from Washington. Nowadays, to the chagrin of China's more sophisticated foreign policy practitioners, Beijing is almost exclusively using sticks.

This intensifies a longer-term trend towards bloc politics in the region. The US-China rivalry, deepening US-India relations, weakening US-Pakistan ties, a tighter China-Pakistan bond, and the deteriorating Sino-Indian relationship represent a mutually reinforcing set of dynamics hardening political lines in South Asia that were once more fluid. It is an uncomfortable context for China's friends too. Pakistan has spent decades navigating between its relationships with Washington and Beijing that typically coexisted quite happily. Now, the sense of pressure to "choose sides" in various areas is growing, and while Pakistan's preference is still to avoid an unhealthy level of dependence on China, the room for manoeuvre is shrinking.

While structural factors continue to push the two sides more closely together, this is far from a golden period in Sino-Pakistani ties. The China-Pakistan Economic Corridor (CPEC), which was supposed to put the relationship on a broader-based and more ambitious footing, has stalled. For several years, the domestic, economic and political situation in Pakistan has presented an array of obstacles not only to the two sides agreeing to any significant new projects, but also executing existing commitments, such as the Gwadar port.

More recently, the security picture has also deteriorated. The bombing last year in Dasu in Khyber Pakhtunkhwa was by some measures the single worst attack on Chinese personnel in Pakistan, and was coupled with a disturbing number of near-misses. Beijing sees these developments as intrinsically bound up with the situation in Afghanistan. China's fear after the US withdrawal was less about what might happen in Afghanistan itself, where its interests are minimal, but the ramifications across the wider region—Pakistan above all. Adding heightened Chinese caution to the already-troubled picture for CPEC means we can expect the initiative's slowdown to persist in the year ahead, while any transformative "game-changing" hopes have largely faded.

The same caution will characterise Beijing's policy across the border. For all that China remains one of the few states to have a decent working relationship with the Taliban government, Beijing has limited confidence in the Taliban's capacity to ensure adequate conditions to risk economic commitments on a meaningful scale. China's support will, therefore, remain limited to humanitarian aid, modest trade openings, and at best some smaller projects, with the suggestion that a lot more will follow if the security situation permits and if the government moves on China's political demands, particularly in cracking down on Uyghur militant groups. In practice, this is likely to mean years of Chinese slow-rolling on major projects and a focus on threat containment and risk management rather than any great enthusiasm for the country's perennially-difficult-to-extract mineral resources. In the wider contest with the United States, Beijing is still prone to seeing Afghanistan as a trap.

The net result in the coming period is a bifurcation in China's approach between the vacated spaces of continental Asia, where Beijing is wary of being sucked in, and the intensifying geopolitical rivalry in the rest of South Asia. One domain is seen as a potential set of liabilities, where China's risk appetite has diminished even compared to a few years ago, when Belt and Road Initiative investments were in full flow. The other is seen as an increasingly "hot" theater of competition, where—as Beijing has already demonstrated at India's borders—it is willing to tear up old arrangements in order to advance a vision of its interests that bears less and less resemblance to the pragmatic, patient, prudent and predictable form of the past. ■

**US-CHINA RIVALRY, DEEPENING US-INDIA RELATIONS AND A TIGHTER CHINA-PAKISTAN BOND MEAN THE HARDENING OF POLITICAL LINES IN SOUTH ASIA**

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